Echelon Staked LPT

Security Assessment

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01 — Executive Summary

Overview

Echelon Labs engaged OtterSec to assess the `echelon-staked-lpt` program. This assessment was conducted between April 6th and April 10th, 2025. For more information on our auditing methodology, refer to Appendix B.

Key Findings

We produced 1 finding throughout this audit engagement.

In particular, we identified a vulnerability, where the borrowing of undervalued staked LP tokens (`xLPT`) is currently allowed due to oracle mispricing. While safe as collateral, this poses a risk if such assets are borrowed at below-market value (OS-ESL-ADV-00).

Scope

The source code was delivered to us in a Git repository at https://github.com/EchelonMarket/echelon-modules. This audit was performed against PR#271.

A brief description of the program is as follows:

Name	Description
echelon-staked-lpt (PR#271)	The PR adds support for adding Thala staked LPTs (xLPTs) as collateral in Echelon pools.

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02 — Findings

Overall, we reported 1 finding.

We split the findings into **vulnerabilities** and **general findings**. Vulnerabilities have an immediate impact and should be remediated as soon as possible. General findings do not have an immediate impact but will aid in mitigating future vulnerabilities.

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03 — Vulnerabilities

Here, we present a technical analysis of the vulnerabilities we identified during our audit. These vulnerabilities have *immediate* security implications, and we recommend remediation as soon as possible.

Rating criteria can be found in Appendix A.

ID	Severity	Status	Description
OS-ESL-ADV-00	MEDIUM	RESOLVED	Borrowing of undervalued staked LP tokens (`XLPT`) is currently allowed due to oracle mispricing. While safe as collateral, this poses a risk if such assets are borrowed at below-market value.

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Risk of Borrowing Undervalued Collateral MEDIUM OS-ESL-ADV-00

Description

In the current implementation, the staked `LPT` oracle may undervalue liquidity provider tokens. While this does not impact their utilization as collateral—effectively acting as a reduced collateral factor—it is critical to prevent borrowing of these undervalued assets. An undervalued oracle price only limits borrowing power, which is acceptable as long as borrowing is not permitted against such assets.

Remediation

Ensure that staked `LPT` can only be used as collateral, not borrowed.

Patch

Fixed in 332854e.

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A — Vulnerability Rating Scale

We rated our findings according to the following scale. Vulnerabilities have immediate security implications. Informational findings may be found in the General Findings.

CRITICAL

Vulnerabilities that immediately result in a loss of user funds with minimal preconditions.

Examples:

- Misconfigured authority or access control validation.
- Improperly designed economic incentives leading to loss of funds.

HIGH

Vulnerabilities that may result in a loss of user funds but are potentially difficult to exploit.

Examples:

- Loss of funds requiring specific victim interactions.
- Exploitation involving high capital requirement with respect to payout.

MEDIUM

Vulnerabilities that may result in denial of service scenarios or degraded usability.

Examples:

- Computational limit exhaustion through malicious input.
- Forced exceptions in the normal user flow.

LOW

Low probability vulnerabilities, which are still exploitable but require extenuating circumstances or undue risk.

Examples:

- Oracle manipulation with large capital requirements and multiple transactions.

INFO

Best practices to mitigate future security risks. These are classified as general findings.

Examples:

- Explicit assertion of critical internal invariants.
- Improved input validation.

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B — Procedure

As part of our standard auditing procedure, we split our analysis into two main sections: design and implementation.

When auditing the design of a program, we aim to ensure that the overall economic architecture is sound in the context of an on-chain program. In other words, there is no way to steal funds or deny service, ignoring any chain-specific quirks. This usually requires a deep understanding of the program's internal interactions, potential game theory implications, and general on-chain execution primitives.

One example of a design vulnerability would be an on-chain oracle that could be manipulated by flash loans or large deposits. Such a design would generally be unsound regardless of which chain the oracle is deployed on.

On the other hand, auditing the program's implementation requires a deep understanding of the chain's execution model. While this varies from chain to chain, some common implementation vulnerabilities include reentrancy, account ownership issues, arithmetic overflows, and rounding bugs.

As a general rule of thumb, implementation vulnerabilities tend to be more "checklist" style. In contrast, design vulnerabilities require a strong understanding of the underlying system and the various interactions: both with the user and cross-program.

As we approach any new target, we strive to comprehensively understand the program first. In our audits, we always approach targets with a team of auditors. This allows us to share thoughts and collaborate, picking up on details that others may have missed.

While sometimes the line between design and implementation can be blurry, we hope this gives some insight into our auditing procedure and thought process.

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